thus stand consolidated in five PSBs: Bank of Baroda, Punjab National Bank, Canara Bank, Union Bank and Indian Bank. Besides SBI, these five are relatively bigger banks. There are also six smaller PSBs: Central Bank of India, Indian Overseas Bank, Punjab and Sind Bank, UCO Bank, Bank of Maharashtra and Bank of India.

The government announced in Budget 2020–21 that IDBI would be privatized. It had been technically privatized in 2018–19 when the government transferred majority shareholding to LIC and the government shareholding fell below 50 per cent. The 2020–21 Budget announcement meant that the government stake would be sold to private parties. This announcement, however, is still to be implemented.

In the 2021–22 Budget, the government announced privatization of two more PSBs though they are yet to be identified. In the same Budget, the government also announced a public-sector enterprises policy. It said that public-sector enterprises in non-strategic sectors would be privatized; and in strategic sectors, it would retain a maximum of four public-sector enterprises. Banks were included in the strategic sector. Therefore, the current policy is that up to four of the eleven PSBs can be retained. There was another important announcement in Budget 2021–22 that the government could consolidate or close public-sector enterprises as well.

The government has not been able to walk the talk on bank privatization until December 2021. The government has not identified two PSBs for privatization and could not initiate the legislative process for privatization by introducing the promised bill for amending two nationalization laws of 1970 and 1980. Neither was the process initiated for selling the government’s large controlling interest in IDBI Bank. After seeing the fate of farm laws, it looks increasingly doubtful that the government might not persist with this agenda.

On the contrary, in the national interest and to serve the cause of building a $10 trillion economy, the government should take up the